

VOLUME DISCOUNT POLICY

Effective Date: January 1, 2025
Document Version: 3.2
Approved By: Sales Operations & Finance
Last Updated: January 15, 2025

1. OVERVIEW

This document outlines the standard volume discount structure for bulk purchases across all product categories and geographic regions. These discounts apply to both B2B and B2C customers meeting the minimum order quantity thresholds.

Policy Scope:

- Applies to all products in active catalog
- Valid for orders placed through authorized sales channels
- Subject to credit approval for B2B accounts
- Cannot be combined with promotional discounts unless explicitly stated

2. DISCOUNT TIERS BY CATEGORY

2.1 ELECTRONICS CATEGORY

Products: SKU-LTP-14 (Laptop 14"), SKU-MOB-5G (5G Smartphone)
Brand: TechPulse

Order Quantity	Discount %	B2B Additional %	Notes
1-4 units	0%	0%	Standard retail price
5-19 units	5%	+2%	Small business tier
20-49 units	10%	+3%	Corporate tier
50-99 units	15%	+5%	Enterprise tier
100-249 units	20%	+7%	Volume tier
250+ units	25%	+10%	Strategic account tier

Table 1: Electronics Category Volume Discounts

Regional Adjustments:

- EMEA:** +2% on all tiers (higher logistics costs)

- **APAC:** Standard rates apply
- **East (USA East Coast):** Standard rates apply
- **West (USA West Coast):** Standard rates apply
- **North (India North):** -1% (local manufacturing advantage)
- **South (India South):** -1% (local manufacturing advantage)

Special Conditions:

- Minimum order value: \$5,000 USD for B2B discount tier access
- Payment terms: Net 30 for approved B2B accounts; immediate payment for B2C
- Delivery: Free shipping on orders over 50 units
- Warranty extension: +1 year warranty on orders over 100 units

2.2 APPAREL CATEGORY

Products: SKU-JNS-32 (Classic Jeans 32), SKU-TSH-RED-M (Classic Tee Red M)

Brand: UrbanWear

Order Quantity	Discount %	B2B Additional %	Notes
1-9 items	0%	0%	Retail price
10-24 items	8%	+3%	Small bulk order
25-49 items	12%	+4%	Corporate uniform tier
50-99 items	18%	+6%	Volume tier
100-249 items	22%	+8%	Wholesale tier
250+ items	28%	+10%	Strategic partnership tier

Table 2: Apparel Category Volume Discounts

Regional Adjustments:

- **EMEA:** Standard rates apply
- **APAC:** +1% on all tiers (emerging market incentive)
- **East:** Standard rates apply
- **West:** Standard rates apply
- **North:** Standard rates apply (strong retail presence)
- **South:** Standard rates apply

Special Conditions:

- Mixed SKU orders allowed (combine jeans + tees for volume discount)
 - Custom logo printing available on orders 50+ units (+\$2 per unit fee)
 - Free shipping on orders over 100 units
 - 60-day return policy for defective items (unused condition)
-

2.3 HOME CATEGORY

Products: SKU-KIT-SET (Kitchen Utensils Set)
Brand: CasaPrime

Order Quantity	Discount %	B2B Additional %	Notes
1-4 sets	0%	0%	Standard retail price
5-14 sets	10%	+4%	Small hospitality/gift tier
15-29 sets	15%	+5%	Corporate gifting tier
30-59 sets	20%	+7%	Distributor tier
60-99 sets	25%	+10%	Volume tier
100+ sets	30%	+12%	Strategic account tier

Table 3: Home Category Volume Discounts

Regional Adjustments:

- **EMEA:** +3% on all tiers (import duties offset)
- **APAC:** +2% on all tiers (market development incentive)
- **East:** Standard rates apply
- **West:** Standard rates apply
- **North:** +1% (growing market segment)
- **South:** +1% (growing market segment)

Special Conditions:

- Custom gift packaging available on orders 30+ sets (+\$3 per set fee)
- Personalized engraving on holder available (minimum 50 sets, +\$5 per set)
- Free shipping on orders over 30 sets
- Wedding registry bulk discount: additional 5% on orders 20+ sets

2.4 TOOLS CATEGORY

Products: SKU-DRL-450 (450W Power Drill), SKU-MIX-SET (Hand Tool Mix Set)
Brand: DrillMaster

Order Quantity	Discount %	B2B Additional %	Notes
1-4 units	0%	0%	Standard retail price
5-14 units	7%	+3%	Small contractor tier
15-29 units	12%	+5%	Mid-size contractor tier
30-59 units	18%	+7%	Large contractor tier
60-99 units	23%	+9%	Distributor tier
100+ units	28%	+12%	Strategic account tier

Table 4: Tools Category Volume Discounts

Regional Adjustments:

- **EMEA:** Standard rates apply
- **APAC:** +1% on all tiers (industrial growth incentive)
- **East:** Standard rates apply
- **West:** Standard rates apply
- **North:** Standard rates apply
- **South:** +1% (manufacturing hub discount)

Special Conditions:

- Mixed SKU orders allowed (combine drills + tool sets for volume tier)
- Extended 3-year warranty on orders 30+ units (standard is 2 years)
- Free calibration and safety inspection on orders 50+ units
- Free shipping on orders over 20 units
- Tool replacement program: 10% discount on replacement parts for life

3. CROSS-CATEGORY VOLUME DISCOUNTS

Customers ordering products across multiple categories in a single purchase order can qualify for cross-category volume bonuses.

Total Order Value (USD)	Additional Discount	Eligibility
\$10,000 - \$24,999	+2%	All customers
\$25,000 - \$49,999	+3%	B2B only
\$50,000 - \$99,999	+5%	B2B only (requires approval)
\$100,000+	+7%	Strategic accounts only

Table 5: Cross-Category Volume Bonuses

Example Calculation:

A B2B customer ordering 50 laptops (Electronics) + 100 tool sets (Tools) would receive:

- **Electronics:** 15% (quantity tier) + 5% (B2B) + 2% (cross-category \$50K+ order) = 22% total discount
- **Tools:** 28% (quantity tier) + 12% (B2B) + 2% (cross-category) = 42% total discount

4. REGIONAL DISCOUNT CAPS

To maintain pricing integrity across markets, the following maximum discount caps apply by region.

Region	Maximum Total Discount	Notes
EMEA	45%	Includes all tier + regional + cross-category
APAC	50%	Emerging market flexibility
East (USA)	45%	Standard cap
West (USA)	45%	Standard cap
North (India)	48%	Local market competitiveness
South (India)	48%	Local market competitiveness

Table 6: Regional Discount Caps

Override Policy:

- Discounts exceeding regional caps require VP Sales approval
- Strategic account exceptions require CFO approval
- Government/non-profit entities may receive additional 5% with documentation

5. PAYMENT TERMS AND DISCOUNT APPLICATION

5.1 Payment Terms by Customer Type

B2C Customers:

- Payment due at time of order
- Accepted methods: Credit card, debit card, PayPal, bank transfer
- Discounts applied automatically at checkout for qualifying quantities

B2B Customers:

- Net 30 payment terms (approved accounts only)
- Net 15 payment terms: additional 2% early payment discount

- Net 45 payment terms available for enterprise accounts (\$100K+ annual revenue)
- Purchase orders accepted (minimum \$5,000 order value)

5.2 Discount Stacking Order

Discounts are applied in the following sequence:

1. Base quantity tier discount (category-specific)
2. B2B additional discount (if applicable)
3. Regional adjustment (+/- percentage)
4. Cross-category bonus (if applicable)
5. Early payment discount (if Net 15 payment selected)
6. Check against regional cap (reduce to cap if exceeded)

6. SPECIAL PROGRAMS

6.1 Seasonal Promotions

During quarterly promotional periods, additional discounts may be offered:

- **Q1 (Jan-Mar):** New Year Business Boost – additional 3% on Electronics
- **Q2 (Apr-Jun):** Spring Home Refresh – additional 5% on Home category
- **Q3 (Jul-Sep):** Back-to-School Tech – additional 4% on Electronics
- **Q4 (Oct-Dec):** Holiday Corporate Gifting – additional 5% on all categories for orders 50+ units

Note: Promotional discounts can be stacked with volume discounts up to the regional cap.

6.2 Government and Education Pricing

Qualified institutions receive special pricing:

- **Government agencies:** 10% discount on all orders (no minimum) + standard volume tiers
- **Educational institutions:** 15% discount on Electronics and Tools + standard volume tiers
- **Non-profit organizations:** 12% discount on all orders (501(c)(3) verification required)

6.3 Channel Partner Program

Authorized distributors and resellers receive tiered pricing:

- **Bronze tier:** 20% base discount + volume tiers (annual revenue \$50K-\$250K)
 - **Silver tier:** 25% base discount + volume tiers (annual revenue \$250K-\$1M)
 - **Gold tier:** 30% base discount + volume tiers (annual revenue \$1M+)
 - **Platinum tier:** Custom pricing (strategic partnerships, requires executive approval)
-

7. APPROVAL MATRIX

Discount Level	Approver Required	SLA
Up to 30% total	Sales representative (auto-approved)	Immediate
31% - 40% total	Sales manager	1 business day
41% - 45% total	Regional sales director	2 business days
46% - 50% total	VP Sales	3 business days
Above 50%	CFO + CEO	5 business days

Table 7: Discount Approval Matrix

8. TERMS AND CONDITIONS

1. **Minimum Order Quantities:** Discounts apply only when minimum quantities are met in a single purchase order.
 2. **Split Orders:** Customers cannot split orders to avoid minimum thresholds or to qualify for higher tiers.
 3. **Returns:** Volume discounts remain valid if returned quantity stays above the tier threshold. Refunds adjusted if returns drop below tier minimum.
 4. **Price Validity:** Quoted prices valid for 30 days from quote date.
 5. **Currency:** All pricing in USD. Regional conversions apply at time of order confirmation.
 6. **Force Majeure:** Company reserves the right to suspend or modify discount programs due to supply chain disruptions, natural disasters, or other unforeseeable events.
 7. **Policy Changes:** This policy may be updated quarterly. Customers will be notified 30 days prior to changes affecting existing orders.
-

9. CONTACT AND SUPPORT

For volume discount inquiries, custom pricing requests, or clarifications:

Sales Support:

Email: volumesales@synopsys-poc.com

Phone: +1-800-SYNOPSYS (USA), +44-20-SYNOPSYS (UK), +91-80-SYNOPSYS (India)

Account Manager:

Contact your dedicated account manager for personalized pricing.

Customer Portal:

Access your account dashboard at portal.synopsys-poc.com for real-time discount calculations and order tracking.

DOCUMENT CONTROL

Document ID: VDP-2025-Q1

Classification: Internal Use – Sales & Finance

Next Review Date: April 1, 2025

Distribution: Sales teams, finance department, customer-facing staff

© 2025 Synopsys POC | All Rights Reserved